

|          |                                                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|----------|------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p>6</p> | <p>Sandoval v. Rod Fraser Enterprises, Inc., et al.</p> <p>2023-01338232</p> | <p><u>Defendants Rod Fraser Enterprises, Inc. and Roderick A. Fraser II's Motion to Compel Arbitration</u></p> <p>Defendants Rod Fraser Enterprises, Inc. (RFE) and Roderick A. Fraser II move to compel arbitration of plaintiff Jose Sandoval Camarena's first amended complaint. For the following reasons, defendants' motion to compel arbitration of plaintiff's individual PAGA claims is granted, plaintiff's nonindividual PAGA claims are stayed pending completion of the arbitration, and plaintiff's class claims are dismissed without prejudice.</p> <p>The right to arbitration depends upon contract; a petition to compel arbitration is simply a suit in equity seeking specific performance of that contract. <i>Little v. Pullman</i> (2013) 219 Cal.App.4th 558, 565. The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. <i>Id.</i></p> <p><i>The 2020 arbitration agreement binds plaintiff</i></p> <p>Plaintiff contends defendants cannot enforce the 2020 arbitration agreement against him because he did not sign the 2020 agreement and because defendants' human resources manager (HRM) led him to believe he did not have to arbitrate any disputes with defendants.</p> <p>The cover memorandum accompanying the 2020 arbitration agreement states: "By continuing your employment with RFE after receiving notice of this notice, you have agreed to the terms and conditions of the Arbitration Program." Fraser Decl. Ex. B (at 1). The 2020 arbitration agreement states:</p> <p>"2. <u>Condition of Employment.</u> A condition of employment at RFE is that all employees and RFE must agree to arbitrate their disputes pursuant to the Arbitration Program. This document provides you with notice of the Arbitration Program. By continuing your employment with RFE after receiving notice of the Arbitration Program, you have agreed to the terms and conditions of the Arbitration Program."</p> <p>Fraser Decl. Ex. B (at 2, ¶ 2).</p> <p>Plaintiff does not dispute he signed an acknowledgement that he received the 2020 arbitration agreement. See <i>also</i> Fraser Decl. Ex. C. Plaintiff also does not dispute he continued working at RFE after receiving the 2020 arbitration agreement. "California law in this area is settled: when an employee continues his or her employment after notification that an agreement to arbitration is a condition of continued employment, that employee has impliedly consented to the arbitration agreement." <i>Diaz v. Sohnen Enterprises</i> (2019) 34 Cal.App.5th 126, 130.</p> |
|----------|------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

|  |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|--|--|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|  |  | <p>Plaintiff instead asserts that a week after receiving the 2020 arbitration agreement he called RFE's HRM and told her he would not sign the agreement. Sandoval Camarena Decl. ¶ 11. Plaintiff asserts the HRM told him to submit his signed copies of the employee handbook, the attendance policy, and the meal period waiver, together with the unsigned arbitration agreement. <i>Id.</i> Plaintiff states the HRM also told that she would "call [him] back if RFE required all employees to sign the 2020 [arbitration] Agreement," but that she never called him back. <i>Id.</i> Plaintiff asserts that based on the lack of a further telephone call, and the fact that nobody else ever contacted him about not signing the 2020 arbitration agreement, he concluded he "was no longer required to arbitrate future disputes with RFE." <i>Id.</i></p> <p>Even crediting plaintiff's description of the events involving RFE's HRM, those events did not render the 2020 arbitration agreement unenforceable against plaintiff. The 2020 agreement and the memorandum accompanying it state that by continuing his employment with RFE after receiving notice of the arbitration agreement, plaintiff agreed to the terms and conditions of the arbitration agreement. The HRM had no reason to call plaintiff to tell him whether "RFE required all employees to sign the 2020 [arbitration] agreement." By the terms of the 2020 arbitration agreement, RFE did not require all employees to sign the arbitration agreement. An employee who received notice of the arbitration agreement and thereafter continued working at RFE impliedly consented to the agreement, whether the employee signed the agreement or not. Plaintiff does not dispute that he received notice of the arbitration agreement and thereafter continued working at RFE. Thus, on this record, the failure of the HRM (or anyone else at RFE) to contact plaintiff about his decision not to sign the 2020 arbitration agreement does not render the agreement unenforceable against plaintiff.</p> <p>For these same reasons, plaintiff's contention that his conversation with the HRM extinguished the 2020 arbitration agreement by novation fails. "Novation is a contractual doctrine. In general the parties to a contract are free to determine for themselves their respective rights and liabilities so long as the purposes and effects of their agreement are lawful. (Civ. Code, § 1636.) The parties to an existing contract may, through mutual consent, modify or rescind their agreement. (Civ. Code, §§ 1689, subd. (a), 1697, 1698.) A novation is the substitution of a new obligation for an existing one. (Civ. Code, § 1530.) Essential to a novation is that it 'clearly appear' that the parties intended to extinguish rather than merely modify the original agreement. [Citations.] The burden of proof is on the party asserting that a novation has been consummated." <i>Howard v. County of Amador</i> (1990) 220 Cal.App.3d 962, 977. Plaintiff's claim that the HRM's conduct demonstrates RFE intended to extinguish the arbitration agreement does not carry plaintiff's burden because, among other reasons, the HRM's conduct was not inconsistent with the language of the agreement. Likewise,</p> |
|--|--|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

|  |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|--|--|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|  |  | <p>the HRM’s conduct does not demonstrate, or even indicate, RFE intended to rescind the 2020 arbitration agreement.</p> <p><i>Bayer v. Neiman Marcus Holdings, Inc.</i> (N.D. Cal. 2011) 2011 WL 5416173, a nonbinding federal district court case, is distinguishable. Unlike plaintiff here, the <i>Bayer</i> plaintiff did not sign a required acknowledgement form acknowledging receipt of the arbitration agreement.</p> <p>Plaintiff does not contend that, if the 2020 arbitration agreement can be enforced against him, the agreement does not encompass his individual PAGA claims. Accordingly, and for the foregoing reasons, defendants’ motion to compel arbitration of plaintiff’s individual PAGA claims is granted.</p> <p><i>The Federal Arbitration Act applies</i></p> <p>Defendants argue the FAA applies. Section 2 of the Federal Arbitration Act (FAA), 9 U.S.C. § 2, applies to any “written provision in . . . a contract evidencing a transaction involving commerce.”</p> <p>The arbitration agreement provides that the FAA applies to any arbitration under the agreement. The agreement states:</p> <p>“The Parties agree that RFE is engaged in transactions involving interstate commerce, and this Arbitration Program shall be subject to the substantive and procedural provisions of the Federal Arbitration Act, 9 U.S.C. §§ 1, et seq.”</p> <p>Fraser Decl. Ex. B (at 3, ¶ 11). In addition, defendants have presented evidence that RFE engages in interstate commerce. Fraser Decl. ¶¶ 1, 8.</p> <p>Plaintiff does not dispute that the FAA applies, and has not objected to—or addressed—defendants’ evidence of interstate commerce. Accordingly, the court finds the FAA applies.</p> <p><i>The class action waiver is enforceable</i></p> <p>The 2020 arbitration agreement contains a class action waiver. See Fraser Decl. Ex. B (at 3, ¶ 9). As discussed above, the FAA applies. The class action waiver is therefore enforceable. See, e.g., <i>Viking River Cruises v. Moriana</i> (2022) 142 S.Ct. 1906, 1918 (“a party may not be compelled under the FAA to submit to class arbitration unless there is a contractual basis for concluding that the party <i>agreed</i> to do so”) (italics in original); <i>AT&amp;T Mobility LLC v. Concepcion</i> (2011) 563 U.S. 333, 352 (holding class action waivers are enforceable under FAA and California rule to contrary preempted); <i>Evenskaas v. California Transit, Inc.</i> (2022) 81 Cal.App.5th 285, 297-98. Plaintiff’s class claims are dismissed without prejudice.</p> <p><i>Plaintiff’s nonindividual PAGA claims are stayed</i></p> |
|--|--|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

|   |                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
|---|------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|   |                                                | <p>Defendants argue plaintiff's nonindividual PAGA claims should be stayed pending completion of the arbitration of plaintiff's individual PAGA claims. Plaintiff opposes.</p> <p><i>Adolph v. Uber Technologies, Inc.</i> (2023) 14 Cal.5th 1104 does not require a stay of nonindividual PAGA claims pending arbitration of individual PAGA claims. The court has discretion, however, to stay a court action when an issue involved in the case is ordered to arbitration. <i>Adolph</i>, 14 Cal.5th at 1123-24.</p> <p>The court elects to exercise its discretion to stay the court action pending completion of the arbitration. That procedure avoids the possibility of, e.g., inconsistent determinations of whether plaintiff does or does not have standing under PAGA, i.e., whether plaintiff did or did not suffer a Labor Code violation during employment. A decision about the potential preclusive effect of an arbitration ruling on the court action here is premature.</p> <p>Defendants' Request for Judicial Notice, submitted with defendants' reply, is denied.</p> <p>The superior court action is stayed pending completion of the arbitration. An ADR Review hearing is scheduled for <u>July 11, 2024 at 9:00 a.m.</u> in Department CX104. The parties are ordered to file a joint status conference report at least five court days before the hearing.</p> <p>Defendants to give notice.</p> <p><u>Status Conference</u></p> <p>In light of the court's concurrent ruling on defendants Rod Fraser Enterprises, Inc. and Roderick A. Fraser II's motion to compel arbitration, the status conference scheduled for January 11, 2024 at 2:00 p.m. in Department CX104 is vacated.</p> <p>Clerk to give notice.</p> |
| 7 | <p>Surby v. ARB, Inc.</p> <p>2021-01194784</p> | <p><u>Plaintiff's Motion for Approval of PAGA Settlement</u></p> <p>"Because an aggrieved employee's action under the Labor Code Private Attorneys General Act of 2004 functions as a substitute for an action brought by the government itself, a judgment in that action binds all those, including nonparty aggrieved employees, who would be bound by a judgment in an action brought by the government." <i>Arias v. Superior Court</i> (2009) 46 Cal.4th 969, 986. PAGA settlements are subject to trial court review "to determine whether [they are] fair, reasonable, and adequate in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws." <i>Moniz v. Adecco USA, Inc.</i> (2021) 72 Cal.App.5th 56, 77.</p> <p>The court has reviewed and considered the papers filed in support of plaintiff's motion for approval of a \$90,000 PAGA</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |